

Notes to the Consolidated Statement of Comprehensive Income

7. Revenue

External revenue by the type of goods and services and by client location

Segment	Estonia		Bulgaria		Latvia		Consolidated	
	2024	2023	2024	2023	2024	2023	2024	2023
<i>In thousands of euros</i>								
Sale of own real estate	7,145	17,488	0	0	0	93	7,145	17,581
Rental of real estate	52	1	0	336	0	0	52	337
Property management	0	0	0	35	0	0	0	35
Franchise	182	174	63	48	28	30	273	252
Other revenue	7	128	0	6	0	0	7	134
Total revenue	7,386	17,791	63	425	28	123	7,477	18,339

Real estate rental, property management services and franchise revenues are recognized over the period of service provision, but revenue from the sale of own real estate is recognized at the time of entering into the real estate contract.

8. Cost of sold real estate and services

	2024	2023
<i>In thousands of euros</i>		
Cost of real estate sold (note 14)	-5,500	-11,880
Brokerage fees	-166	-57
Property management costs	-96	-200
Personnel expenses (note 10)	-131	-7
Depreciation, amortization, and impairment losses (note 16)	-1	-13
Inventory write-down (note 14)	487	-528
Other costs	-300	-55
Total cost of sold real estate and services	-5,707	-12,740

In 2023, the Botanica Lozen development was valued at a net realizable value of 528 thousand euros, but due to the changed situation, the write-down was reversed in 2024 (see note 14).

9. Marketing and distribution expenses

	2024	2023
<i>In thousands of euros</i>		
Advertising expenses	-239	-174
Corporate marketing	-194	-131
Personnel expenses (note 10)	-99	-73
Market research	-16	-9
Depreciation, amortization, and impairment losses (note 16)	-3	0
Total marketing and distribution expenses	-551	-387

10. Administrative expenses

	2024	2023
<i>In thousands of euros</i>		
Personnel expenses	-678	-937
Office expenses	-88	-85
IT expenses	-36	-44
Services purchased	-200	-145
Depreciation, amortization, and impairment losses (note 16)	-81	-83
Legal service fees	-17	-28
Other expenses	-27	-65
Total administrative expenses	-1,127	-1,387

In 2024, employee remuneration expenses of the Group amounted to 1,465 thousand euros, out of which 687 thousand were administrative expenses, 131 thousand were cost of sold real estate and services (see note 8), 99 thousand euros marketing and distribution expenses (see note 9) and 557 thousand euros were capitalized into the cost of inventories during the year.

In 2023, employee remuneration expenses of the Group amounted to 2,252 thousand euros, out of which 937 thousand were administrative expenses and 7 thousand

were cost of sold real estate and services (see note 8), 73 thousand euros marketing and distribution expenses (see note 9) and 1,235 thousand euros were capitalized into the cost of inventories during the year.

As of 31 December 2024, 10 persons worked for the group with an employment contract and 3 with a board member agreement (on 31 December 2023: 15 with an employment contract and 3 with a board member agreement).

11. Financial income and cost

	2024	2023
<i>In thousands of euros</i>		
Interest expenses (note 6)	-652	-391
Interest income	18	9
Other financial costs	-6	-8
Total financial costs	-640	-390

Interest expense consists mainly of interest expense on loans taken for acquiring and building real estate projects. Interest expenses on loans taken for financing development projects in progress are 100% capitalized

in inventory and real estate investments. In 2024, capitalized interest expenses amounted to 673 thousand euros and in 2024 to 924 thousand euros (see notes 14).

12. Earnings per share

Basic earnings per share are calculated by dividing profit (loss) for the period attributable to ordinary equity holders of the parent by the weighted average number

of ordinary shares outstanding during the period. Diluted earnings per share are calculated by taking into account all potentially issued shares.

	2024	2023
Weighted average number of ordinary shares outstanding during the period	10,388,367	10,388,367
Number of ordinary shares potentially to be issued (at period end)	290,000	63,000
Net profit (loss) (in thousands of euros)	-624	3,550
Earnings per share (in euros)	-0.06	0.34
Diluted earnings per share (in euros)	-0.06	0.34

On the basis of the CEO's bonus program, the CEO who left in 2024 is entitled to 15,000 shares based on seniority. The reserve has been prepared based on the share price on grant date 17.05.2023, therefore a reserve of 27 thousand euros has been formed in equity for the options.

Based on the decision of the general meeting of Arco Vara AS on 17.05.2022, a total of 63,000 shares will be issued to three senior employees over three years, in case of the average ROE from Q3 2022 to the Q2 2025 is greater than 12%. As of 31.12.2024 and 31.12.2023, the ROE assumption cannot be fulfilled, therefore no reserve has been formed for the conditional option programs. If the ROE requirement is nevertheless met, as of 31.12.2024, 35,000 shares have been earned on the basis of the option program.

Up to 240,000 shares of the new CEO option program are subject to approval at the 2025 general meeting.

Notes to the Consolidated Statement of Financial Position

13. Receivables and prepayments

Short-term receivables and prepayments

	31 December 2024	31 December 2023
<i>In thousands of euros</i>		
Receivables from customers	352	301
Miscellaneous receivables	6	6
Prepaid and recoverable taxes	152	274
Other accrued income	6	4
Prepayments	5,174	5,213
Total short-term receivables and prepayments	5,690	5,798

Long-term receivables and prepayments

	31 December 2024	31 December 2023
<i>In thousands of euros</i>		
Deposits	18	18
Total long-term receivables and prepayments	18	18

The balance of prepaid and recoverable taxes consists of VAT paid on construction of apartment buildings. Group has performed a prepayment of 4,977 thousand euros for the immovable at the Harku Lake. As of 31 December 2024, a prepayment of 106 thousand euros

has been performed to the contracting authorities in the Botanica Lozen project (153 thousand as of 31.12.2023). In 2024 or 2023, no receivables from customers were written off. There were no invoices more than 30 days past due on the balance sheet days.

14. Inventories

As of 31 December	2024	2023
<i>In thousands of euros</i>		
Completed apartments, commercial premises	8,106	0
Properties under construction	7,973	17,199
Properties in the construction permit process	5,630	2,182
Properties in the detailed planning process	7,461	8,256
Total inventories	29,170	27,637

Properties purchased and being developed for resale

	2024	2023
<i>In thousands of euros</i>		
Balance at the beginning of period, 1 January	22,637	22,474
Construction costs of apartment buildings	4,763	15,727
Capitalized borrowing costs	669	924
Inventory write-down (note 8)	487	-528
Other capitalized costs	1,676	890
Cost of sold properties (note 8)	-5,500	-11,850
Reclassification to property, plant and equipment (note 16)	-474	0
Reclassification to/from investment property (note 15)	-88	0
Balance at the end of period, 31 December	29,170	27,637

In 2023, the Botanica Lozen development was discounted by 528 thousand euros to its net realizable value, but due to a revised valuation, the write-down was reversed in 2024 (see note 8). The change in valuation was due to the fact that new sales were added to the project and the justification for the higher price became more certain.

The Group's management estimates that the Group has inventories realisable during one year in carrying value of 16,033 thousand euros as of 31 December 2024. Inventories in carrying value of 13,137 thousand euros are realisable in a longer period than one year.

For information on inventories pledged as loan collateral, see note 21.

Projects under development recorded in inventories have been valued using the comparative method to determine their net realizable value and the net realizable value has been compared to their actual acquisition cost to determine the need for a write-down. In 2024, the value of the Group's inventories was determined by internal experts by 72% and 28% by external experts. In 2023, the value of the Group's inventories was determined by internal experts by 89% and 11% by external experts. Estimates used in valuations are based on real market prices and the Group's recent experience with comparable assets.

As of 31 December	2024	2023
<i>In thousands of euros</i>		
Measured using the residual value method	27,057	23,900
Measured using the net realizable value method	2,113	3,737
Total inventories	29,170	27,637

The inventory sensitivity risk mainly arises from the future sales prices of apartments: according to the management's assessment, some developments contain uncertainty and there is a risk that the sales prices of completed properties will have to be adjusted below the net realizable value of inventories in future reporting periods. The inventory write-down sensitivity test showed that if the management overestimated the net realizable value of inventories by 5%, an additional

write-down of 106 thousand euros would be required in Kuldlehe as of 31.12.2024 (520 thousand euros in total in Botanica Lozen and Kuldlehe as of 31.12.2023). The profit margin of other developments is higher and the management does not see a risk of write-down.

Development management services purchased from related parties in the amount of 54 thousand euros were capitalized in inventories in 2024 (see note 23).

15. Investment property

Investment properties comprise the following types of assets:

- 1) A sports hall in Tallinn that generates rental income (carrying value as of 31.12.2024 2,276 thousand euros; there were no such assets as of 31.12.2023);
- 2) Land plots that have a development potential but the future use of which is still uncertain (carrying value of 20 thousand euros on 31 December 2024 and 31 December 2023). If it is decided to start developing the property with development potential, the future use of which was not yet certain for the time being, instead of selling them, the property shall be reclassified to inventories.

As of 31 December	2024	2023
<i>In thousands of euros</i>		
Land plots	20	20
Shops and offices	2,276	0
Total investment property	2,296	20

Investment properties in non-current assets

	2024	2023
<i>In thousands of euros</i>		
Balance at the beginning of period, 1 January	20	82
Net profit/loss on changes in fair value	0	18
Capitalized development costs	2,184	0
Capitalized borrowing costs	4	0
Reclassification from/to inventories (note 14)	88	0
Sale of real estate	0	-80
Balance at the end of period, 31 December	2,296	20

Investment properties in current assets

	2024	2023
<i>In thousands of euros</i>		
Balance at the beginning of period, 1 January	0	9,050
Sale of investment property	0	-9,050
Balance at the end of period, 31 December	0	0

In 2024, the Tallinn padel venue was built, which generates rental income for the group.

The sale of investment properties generated a profit of 10 thousand euros in 2023. Together with the profit from the change in fair value of 18 thousand euros, the

profit from investment properties in 2023 was 28 thousand euros.

In 2023, the sale of the commercial building Madrid was completed, which is why there are no more investment properties in current assets in 2024.

For information on pledged assets, see note 21.

Changes in fair value of investment property

Valuation of land

Land plots, which are classified as investment properties, have been valued using comparison method, i.e. specialists have estimated the price for which the assets could be realised within one year by reference to prevailing market prices. In 2024, the values of all of the Group's investment properties were determined by

internal external experts. In 2023, the values of all of the Group's investment properties were determined partly by internal and partly by external experts.

Valuation of sports hall

The Tallinn padel venue was valued by external experts in 2024; the income method was used for the valuation.

As of 31 December	2024	2023
<i>In thousands of euros</i>		
Measured using comparison method	20	20
Measured using income method	2,276	0
Total investment property	2,296	20

Operating leases: the Group as a lessor

The padel venue, which is a real estate investment, earned 51 thousand euros in rental income in 2024. The Madrid Blvd building in Sofia generated rental and management service income of 371 thousand euros in 2023. The building was sold on 30.06.2023.

Direct property management expenses totaled 22 thousand euros in 2024 (in 2023: 82 thousand euros), including expenses in the amount of 2 thousand euros (in 2023: 3 thousand euros) from properties from which the Group did not earn any income.

16. Property, plant and equipment and intangible assets

Property, plant and equipment

	Land and buildings	Office equipment	Total property, plant and equipment
<i>In thousands of euros</i>			
Carrying amount on 31 December 2022	243	41	284
Of which cost	286	196	482
Of which accumulated depreciation	-43	-155	-198
Additions	0	9	9
Depreciation for the year (note 6)	-58	-14	-72
Carrying amount on 31 December 2023	185	36	221
Of which cost	286	200	486
Of which accumulated depreciation	-101	-164	-265
Additions	0	6	6
Sale of PPE	0	-1	-1
Write-off	0	-3	-3
Reclassification from inventory (note 14)	474	0	474
Depreciation for the year (note 6)	-62	-13	-75
Carrying amount on 31 December 2024	597	25	622
Of which cost	760	54	814
Of which accumulated depreciation	-163	-29	-192

In 2024, amortization of tangible assets is recorded in the cost of real estate and services sold in the amount of one thousand euros (see note 8), 3 thousand euros in marketing and distribution expenses (see note 9) and 71 thousand euros in general administrative expenses (see

note 10), in 2023 and in general administrative expenses 72 thousand euros (see note 10). As of 31.12.2024 and 31.12.2023, there were no fully depreciated tangible fixed assets that were still in use.

Intangible assets

	Total intangible assets
<i>In thousands of euros</i>	
Carrying amount on 31 December 2022	46
Of which cost	525
Of which accumulated amortization	-479
Amortization for the year (note 6)	-22
Carrying amount on 31 December 2023	24
Of which cost	488
Of which accumulated amortization	-464
Purchases and software development	38
Amortization for the year (note 6)	-10
Carrying amount on 31 December 2024	52
Of which cost	526
Of which accumulated amortization	-474

Amortization of intangible assets is recorded in 2024 in general administrative expenses in the amount of 10 thousand euros (see note 10); in 2023, 12 thousand euros in cost of sales (see note 8) and 12 thousand euros in general administrative expenses (see note 11). Intangible assets of the Group consist mainly of Arco

Vara business software AVIS in the total amount of 407 thousand euros. There were no software developments for AVIS in 2024 nor 2023.

As of 31.12.2024, the cost of intangible assets that were fully amortized but still in use was 410 thousand euros (on 31 December 2023: 412 thousand euros).

17. Interest bearing liabilities

The overview of changes in net loans is as follows:

	Cash and cash equivalents	Bank loans	Bonds	Other loans	Total
<i>In thousands of euros</i>					
Net loans 31 Dec 2022	3,427	-15,566	-2,120	-403	-14,662
Annual change	-1,955	8,942	0	-933	6,054
Net loans 31 Dec 2023	1,472	-6,624	-2,120	-1,336	8,608
Annual change	248	-4,410	-1,880	1,155	4,887
Net loans 31 Dec 2024	1,720	-11,034	-4,000	-181	13,495

Interest bearing liabilities comprise the following items:

	As of 31 December, 2024			As of 31 December, 2023		
	Total	of which current portion	of which non-current portion	Total	of which current	of which non-current
<i>In thousands of euros</i>						
Bank loans	11,034	121	10,913	6,624	61	6,563
Bonds	4,000	0	4,000	2,120	2,120	0
Lease obligation	126	58	68	184	58	126
Other loans	55	55	0	1,152	1,152	0
Total	15,215	234	14,981	10,080	3,391	6,689

In 2024, the group settled loans in the amount of 2,193 thousand euros (in 2023: 11,026 thousand euros) through cash transactions and raised new loans in the amount of 13,246 thousand euros (in 2023: 14,095 thousand euros). 5,927 thousand euros of the settled loans were paid by customers directly to the bank in

2024, 10,597 thousand euros in 2023. Also, 478 thousand worth of small loans were settled with receivables for the sale of apartments from a private investors in 2023. These amounts are not reflected in the group cash flow statement.

In 2024, the following major loan obligations were settled:

- 5,268 thousand euros of bank loan for financing of apartment building in Kodulahe Rannakalda, out of which 4,871 thousand directly by customers;
- 1,056 thousand euros of bank loan for financing apartment building of Kuldlehe project, all directly by customers;
- 63 thousand euros of bank loan for financing land of Kodulahe project's Stage VIII at Lammi 6;
- 2,120 thousand euros Arco Vara bonds, out of which 1,490 thousand euros returned in cash and 630 thousand converted into new bonds;
- 1,152 thousand euros, out of which 181 thousand euros returned in cash and 971 thousand converted into bonds;
- 4 thousand euros of bank loan for financing Helme padel venue;
- 58 thousand euros of capitalized office rent.

In 2024, the group raised the following new liabilities:

- 7,452 thousand euros of bank loan for financing of Kodulahe Rannakalda apartment building;
- 2,000 thousand euros of bank loan for financing Kuldlehe apartment building, including bank receipts of 1,990 thousand, 10 thousand was the contract fee;
- 4,000 thousand euros Arco Vara bonds, out of which 2,432 thousand euros received in cash and 1,568 thousand euros converted from old loan products;
- 55 thousand euros loan from private investors, out of which 22 thousand euros received in cash and 33 thousand converted from previous loan products.
- 1,350 thousand euros bank loan for financing Helme padel venue.

In 2023, the following major loan obligations were settled:

- 5,036 thousand euros of Madrid Blvd project's bank loan principal;
- 15,388 thousand euros of bank loan for financing construction of Kodulahe Rannakalda, out of which 10,597 thousand directly by customers;
- 64 thousand euros of bank loan for financing land of Kodulahe project Stage VIII;
- 1,000 thousand euros short term credit from related company;
- 558 thousand euros loan from private investor, out of which 478 thousand settled with receivables;
- 58 thousand euros of capitalized office rent.

In 2023, the group raised the following new liabilities:

- 11,545 thousand euros of bank loan for financing construction of Kodulahe Rannakalda;
- 1,550 thousand euros loan from private investors;
- 1,000 thousand euros short term credit from related company.

Amounts, interest rates and maturity dates of interest-bearing liabilities

Description of the liability	Maturity date (month/year)	Liability amount, in thousands of euros		Interest rate, %		Type of interest
		31 Dec 2024	31 Dec 2023	31 Dec 2024	31 Dec 2023	
Bank loan, refinance	9/2029	1,346	-	5.8	-	6M Euribor
Bank loan, development	4/2026	5,371	3,188	8.5	5.0	6M Euribor
Bank loan, development	7/2026	944	0	9.1	-	6M Euribor
Bank loan, land acquisition	11/2027	3,373	3,436	8.8	9.6	6M Euribor
Bonds, development	12/2026	4,000	2,120	10.0	10.0	Fixed
Lease obligation	8/2026	126	184	2.5	2.5	Fixed
Other loan, settlements	12/2025	55	-	7.0	-	Fixed
Other loan, settlements	12/2024	0	1,152	10.0	10.0	Fixed
Total		15,215	10,080			

On 31 December 2024, the weighted average interest rate of interest-bearing liabilities was 8.7% (31 December 2023: 8.2%).

The Group's management estimates that the carrying amounts of the Group's loan liabilities do not differ significantly from their fair value, as the applicable interest rates of the contracts correspond to market interest rates.

Management estimates that the Group's risk margins have not changed significantly compared to the time of obtaining the loans. Additional information on assets pledged as collateral for loan obligations is provided in note 21.

In 2024, the Company's CEO participated in the subscription of bonds with 150 thousand euros and a company related to a member of the Supervisory Board with 160 thousand euros. A loan previously received from a company related to a member of the Supervisory Board in the amount of 120 thousand euros was converted into bonds on 13.12.2024, thus, the transaction is not reflected in the cash flow statement in 2024. See also note 23 for transactions with related parties.

19. Payables and deferred income

Short-term payables and deferred income

	31 December 2024	31 December 2023
<i>In thousands of euros</i>		
Trade payables	1,869	740
Taxes payable		
Value added tax	4	1,270
Social security tax	14	46
Personal income tax	7	33
Other taxes	1	2
Total taxes payable	26	1,351
Accrued expenses		
Payables to employees	136	1,048
Dividend payable	104	104
Other accrued expenses	188	215
Total accrued expenses	428	1,367
Deferred income		
Prepayments received on sale of real estate	2,110	555
Guarantee deposits	54	0
Total deferred income	2,164	555
Total short-term payables and deferred income	4,487	4,013

As of 31 December 2024, the prepayments received on sale of real estate included prepayments collected on presale of apartments of Botanica Lozen villas of 1,889 thousand euros, 31 December 2023 555 thousand euros. As of 31.12.2024, the advance payment from Soodi 6 customers was 219 thousand euros.

On 31.12.2023, the VAT payable is higher than usual, because the turnover of the final sales of Rannakalda apartments in December 2023 was 6,292 thousand euros. On 31.12.2023, payables to employees include intra-group success fees for completed developments of 800 thousand euros.

20. Share capital

As of 31 December	2024	2023
Number of issued shares fully paid up	10,388,367	10,388,367
Share capital (in thousands of euros)	7,272	7,272
Share premium (in thousands of euros)	3,835	3,835
Statutory capital reserve (in thousands of euros)	2,011	2,011

The articles of association of Arco Vara AS set out the size of the company's share capital or the minimum and maximum amount of its capital. In accordance with its articles of association, the company's minimum and maximum authorised share capital amount to 2,500 thousand euros and 10,000 thousand euros, respectively. The company has issued registered ordinary shares of one class. The par value of a share is 70 cents and each share carries one vote. A share provides the holder with the right to participate in the company's general meetings, allocation of the company's profit, and distribution of

remaining assets on dissolution of the company as well as with other rights provided by law and the company's articles of association.

Under the Commercial Code of the Republic of Estonia, every year a limited liability company has to transfer to the capital reserve at least 5% of its profit for the year until the capital reserve amounts to at least 10% of its share capital. The statutory capital reserve of the Company is in compliance with the regulatory requirement, amounting to 28% of share capital as of 31 December 2024.

20. Financial instruments and financial risk management

The Group's activities expose it to various financial risks: credit risk, liquidity risk and market risk.

The Group's overall risk management program is based on the assumption that the financial markets are unpredictable and appropriate measures have to be adopted to minimise potential adverse impacts on the Group's financial activities. The Group has not used derivative financial instruments to hedge certain risk exposures in recent years.

The Group's risk management process is based on the premise that the Group's success depends on constant monitoring, accurate assessment and effective management of risks. Centralised financial risk management is the responsibility of the Group's financial

team. The main objective of financial risk management is to prevent any damage or financial loss that could jeopardise the Group's equity and ability to continue operating as a going concern. The Group designs and implements risk management policies and activities that are aimed at identifying and evaluating risks and spreading risks across time, activities and geographical areas. Risk management policies and activities are implemented by the managers of group entities.

In managing its financial risks, the Group's main focus is on monitoring the risk exposures of the Development segment because a majority of the Group's liquidity and interest rate risks are concentrated in the Development segment in Estonia and Bulgaria.

Credit risk

Credit risk is the risk that the counterparty to a financial instrument will cause a financial loss to the Group by failing to discharge an obligation. The Group's credit risk

exposures result from cash placed in bank deposits, and trade and other receivables.

As of 31 December	2024	2023
<i>In thousands of euros</i>		
Cash on demand deposits	1,720	1,472
Total cash and cash equivalents	1,720	1,472

The Group's cash and cash equivalents are held at different banks, which reduces credit risk associated with deposits. Credit ratings of three banks holding almost all of the Group's cash deposits as of 31 December 2024, are presented in the following table.

Bank or banking group	Bank's share of the Group's cash balance	Moody's	Fitch
United Bulgarian Bank	29.18%	Not rated	A-
LHV Pank AS	60.08%	Baa3	Not rated
Coop Pank AS	10.74%	Baa2	Not rated

Credit risk is managed mainly by making sure that there are no major concentrations of credit risk. Group entities prevent and minimize credit risk by monitoring and managing customers' settlement behavior daily so that appropriate measures could be applied on a timely basis. In addition, sales and construction activities are partly financed with customer prepayments and in real estate transactions. Consequently, the Group considers the total risk arising from customer insolvency to be, in all material respects, mitigated.

Other financial assets are also exposed to credit risk: trade receivables and other short-term receivables, totaling 561 thousand euros as of 31 December 2024. The Group's companies only enter into cooperations with parties that have been previously recognized as creditworthy and transactions are usually carried out

with partial advance payment. In order to obtain credit, additional collateral covering the risk is required from the counterparty. Accordingly, the management estimates that the need for additional credit risk mitigation is minimal. In addition, due to the specifics of the group's sales, i.e. receivables from the sale and lease of its properties are generally collected within a very short period of time, the impairment of receivables based on the principles described above is insignificant as of 31 December 2024 and the comparison period.

All financial assets exposed to credit risk are recorded at amortized cost.

The total amount of financial assets exposed to credit risk was 2,281 thousand euros as of 31 December 2024 (31 December 2023: 2,019 thousand euros).

Financial assets by maturity

on 31 December 2024				
By maturity	< 3 months	3-12 months	1-2 years	Total
<i>In thousands of euros</i>				
Cash and cash equivalents	1,720	0	0	1,720
Trade and other receivables (note 13)	561	0	0	561
Total	2,281	0	0	2,281

on 31 December 2023				
By maturity	< 3 months	3-12 months	1-2 years	Total
<i>In thousands of euros</i>				
Cash and cash equivalents	1,427	0	0	1,472
Trade and other receivables (note 13)	547	0	0	547
Total	2,019	0	0	2,019

Liquidity risk

Liquidity risk is the risk that a potential change in its financial position will cause the Group to encounter difficulty in meeting its financial liabilities in a due and timely manner, or that the Group will be unable to realise its assets at market price and within the desired timeframe. Above all, the Group's liquidity is affected by the following factors:

- group entities' ability to generate independent positive net operating cash flows and the volatility of those cash flows;
- mismatch in the maturities of assets and liabilities and flexibility in changing them;
- marketability of long-term assets;
- volume and pace of real estate development activities;
- financing structure.

Short-term liquidity management is based mainly on group entities' continuously monitored monthly cash flow

forecasts. The purpose of short-term liquidity management is to guarantee the availability of a sufficient amount of highly liquid funds (i.e. cash and cash equivalents and highly liquid investments in financial instruments). The main tool for short-term liquidity management both in Estonia and in group entities outside Estonia is intra-group borrowing from the parent company.

Long-term liquidity is primarily influenced by investment decisions. The Group observes the principle that group entities' total net cash inflow from operating and investing activities has to cover the Group's total cash outflows from financing activities. Accordingly, the purpose of long-term liquidity management is to ensure sufficient liquidity of the real estate portfolio (investment properties portfolio), to match the timing of cash flows from investing and financing activities, and to use the optimal financing structure. Long-term projects are monitored to ensure that the timing and amounts of investing cash flows do not differ significantly from the timing and amounts of financing cash flows.

Maturity structure of financial liabilities

on 31 December 2024				
By maturity	< 3 months	3-12 months	1-5 years	Total
<i>In thousands of euros</i>				
Interest-bearing liabilities	43	191	14,981	15,215
Interest payable	331	991	1,361	2,683
Other financial liabilities (trade payables, accrued expenses, excluding liabilities to employees)	2,187	0	0	2,187
Total	2,561	1,182	16,342	20,085

on 31 December 2023				
By maturity	< 3 months	3-12 months	1-5 years	Total
<i>In thousands of euros</i>				
Interest-bearing liabilities	30	3,361	6,689	10,080
Interest payable	206	247	943	1,396
Other financial liabilities (trade payables, accrued expenses, excluding liabilities to employees)	2,410	0	0	2,410
Total	2,646	3,608	7,632	13,886

Based on the maturities of liabilities included in the Group's loan portfolio, as of 31 December 2024, the average weighted maturity of the Group's loans and borrowings was 2.12 years (as of 31 December 2023: 2.08 years). For more information on loans and borrowings see also note 17. The Group's management estimates that the carrying amount of the Group's

financial liabilities does not differ significantly from their fair value.

Refinancing risk is managed by monitoring the liquidity position on a daily basis, analysing different financing options on an ongoing basis and involving partner banks from different countries already in the initial stage of the process.

Market risk

Interest rate risk

Interest rate risk is the risk that a rise in market interest rates will increase interest expense to an extent that will have a significant impact on the Group's performance. The Group's exposure to interest rate risk results from:

- use of loans and borrowings with a floating interest rate;
- refinancing liabilities on the arrival of their due dates;
- raising new loans for realising an investment plan in a situation where the volatility of financial markets is increasing and the economic environment is changing.

73% of the Group's long-term loans and borrowings are linked to 6-month Euribor. Therefore, the Group is exposed to developments in the international financial markets. Interest rate risk is managed, among other things, by monitoring movements in the money market interest rate curve, which reflects the market participants' expectations of market interest rates and

allows estimating a trend for euro-denominated interest rates.

The sensitivity analysis of the Group's profit before tax, which was conducted based on the balance of loans and borrowings as of 31 December 2024, indicated that a 1 percentage point change (increase or decrease) in interest rates of floating rate loans would have affected (increased or reduced) profit before tax by 110 thousand euros (on 31 December 2023: 34 thousand euros).

In managing its short-term interest rate risks, the Group regularly compares potential losses from changes in interest rates against corresponding risk hedging expenses. To date, no financial instruments have been used to hedge short-term interest rate risks because according to management's assessment hedging expenses would exceed potential losses from changes in interest rates.

The interest rate of liabilities with a fixed interest rate does not differ significantly from the current market interest rates.

Currency risk

Because the only significant currency for the Group beside euro – Bulgarian lev – is pegged to euro, the main currency risk is the risk of devaluation of Bulgarian lev. Currency risk is mitigated also by conducting most of

transactions and signing all major agreements, including loan contracts in euros. In view of the above, the Group's management considers currency risk to be insignificant.

Fair value of financial instruments

Management estimates that the carrying amount of the Group's financial assets and liabilities does not significantly differ from their fair value.

Trade receivables and payables are short-term and therefore the management estimates that their carrying amount is close to their fair value. Most of the Group's long-term borrowings are based on floating interest rates, which change according to the market interest rate. According to the management's opinion, the Group's risk margins have not significantly changed compared to the time when the loans were received and

the Group's interest rates on borrowings correspond to market conditions. Based on the above, the management estimates that the fair values of long-term payables and receivables are an approximation of their carrying amount. To determine the fair value, a discounted cash flow analysis has been used, by discounting contractual future cash flows with current market interest rates that are available to the Group for using similar financial instruments.

Fair value of financial instruments is level 3.

Capital management

The Commercial Code of the Republic of Estonia sets forth the following requirements to the share capital of companies registered in Estonia:

- the minimum share capital of a limited liability company defined as aktsiaselts has to amount to at least 25 thousand euros;
- the net assets of a limited liability company defined as aktsiaselts have to amount to at least half of its share capital but not less than 25 thousand euros.

The size of the share capital or the minimum and maximum capital of a limited liability company have to be set out in the company's articles of association whereby minimum capital has to amount to at least one quarter of maximum capital. As of 31 December 2024, the share capital of Arco Vara AS consists of 10,388,367 ordinary shares (with nominal value of 70 eurocents per share) and has been fully paid in. According to the effective articles of association of Arco Vara AS, share capital may be increased or reduced within the range of 2,500 thousand to 10,000 thousand euros without changing the articles of association. As of 31 December 2024, the share capital of Arco Vara AS was 7,272 thousand euros and net assets were 19,739 thousand euros. Thus, the Group's share capital and net assets (equity) were in accordance with the regulatory requirements of the Republic of Estonia.

In addition to meeting regulatory requirements, the net assets of some of the Group's subsidiaries have to meet

the loan covenants agreed with credit institutions; otherwise, the bank may apply higher interest rates to existing loans. These covenants refer to legal requirements in respect to the capital of a company and are limited to the obligation of obtaining the credit institution's written consent for changing the debtor's capital. As of 31 December 2024 and 31 December 2023, the equity was positive in all group companies with bank loans.

The total capital of Arco Vara AS is the sum of its short- and long-term interest bearing loans and borrowings less cash and cash equivalents. On 31 December 2024, total capital amounted to 33,324 thousand euros (on 31 December 2023: 29,625 thousand euros).

The guiding principle in capital management is to safeguard the Group's reliability and sustainable development. The Group finances its operations with both debt and equity capital. Property development is very capital intensive. Therefore, investment projects are financed on the assumption that, as a rule, equity financing should amount to at least 30% of the total cost of the investment.

In designing the optimal financing structure and identifying and evaluating risks, the Group monitors its equity to assets ratio. On 31 December 2024, equity accounted for 49.9% (on 31 December 2023: 59.7%) of total assets.

Other information

21. Assets pledged as collateral

The Group has secured its loans and borrowings by providing the following collateral:

As of 31 December	2024	2023
<i>In thousands of euros</i>		
Inventories	17,001	18,114
Investment property	2,276	0
Fixed items	471	0
Total carrying value of assets pledged as collateral	20,248	18,114

22. Contingent liabilities

Contingent income tax liability

As of 31 December 2024, the Group's retained earnings amounted to 6,594 thousand euros (on 31 December 2023: 7,843 thousand euros). From 01.01.2025, dividends paid to owners will normally incur an income tax expense of 22/78 of the amount paid out as net dividends, but dividends received from Bulgarian subsidiaries may be repaid tax-free. In 2024 and in 2023, this opportunity was used when paying out dividends to

shareholders in the amount of 624 euros (0.06 euros per share) with only partial income tax obligation.

As of 31 December 2024, Arco Vara could pay dividends in the amount of 62 thousand euros without income tax obligation. Upon the payment of all retained earnings in 2025, income tax liability would be 1,437 thousand euros and the amount to be paid out to shareholders would total 5,157 thousand euros.

Conditional obligations in relation to the purchase of land adjacent to Harku Lake

Arcojärve OÜ, a subsidiary of Arco Vara, concluded a contract for purchasing land on the shores of Harku Lake at Paldiski road 124b, Tallinn and paid 4,977 thousand euros. Over 30,000 m² of residential and business real estate (gross building area) is intended to be developed. In relation to this, the subsidiary of Arco Vara assumed

the obligation to also pay additional 1,627 thousand euros for the purchase of land by Harku Lake within three months from the establishment of the detailed plan for the property by the Tallinn City Government, but no later than 30.04.2026.

23. Related party disclosures

The Group has conducted transactions or has balances with the following related parties:

- 1) Parent company OÜ Alarmo Kapital and companies under the control of the chief executive officer and the members of the supervisory board of Arco Vara AS that have a significant interest in the Group;
- 2) other related parties – the chief executive officer and the members of the supervisory board of Arco Vara AS and companies under the control of these persons (excluding companies that have a significant interest in the Group).

Balances with related parties

As of 31 December	2024	2023
<i>In thousands of euros</i>		
Other related parties		
Trade receivables	0	18
Short term loans	0	120
Bonds	310	0

See additional information from note 17.

Transactions with related parties

	2024	2023
<i>In thousands of euros</i>		
Other related parties		
Sold apartments	0	1,919
Services purchased	54	36
Interest paid	12	16

Remuneration of key management personnel

The key management personnel are the member of the management board / CEO of Arco Vara AS and members of the supervisory board. In 2024, the remuneration of the CEO, including social security charges amounted to 244 thousand euros (281 thousand euros in 2023). Remuneration of the members of the Group's supervisory board was 36 thousand euros in 2024 and 14 thousand in 2023.

Based on the employment contract of Kristina Mustonen, the managing member of the management board of Arco Vara AS, a fixed monthly fee of 11,000 euros (net) has been determined by the decision of the supervisory board. The manager is entitled to a severance pay of 4 monthly salaries upon leave.

The members of the supervisory board will receive 500 euros (net amount) for every meeting where they have participated, but not more than 1000 euros (net amount) per month. The payment of the remuneration is dependent on signing of the minutes of the meetings of the supervisory board. Reasonable travel expenses made for participating in the board meetings are also compensated to the members of the supervisory board. The chairman of the supervisory board receives an additional 500 euros per month (net amount).

In 2024 and 2023, all transactions with related parties have been conducted on market conditions and no receivables from related parties were impaired.

24. Structure of Arco Vara group

Group	Domicile	Group's ownership interest	
		On 31 December 2024	On 31 December 2023
%			
Development segment			
Subsidiaries			
Kerberon OÜ	Estonia	100	100
Arcojärve OÜ	Estonia	100	100
Kodulahe Kvartal OÜ	Estonia	100	100
Kodukalda OÜ	Estonia	100	100
Kodulahe II OÜ	Estonia	100	100
Arco Vara Bulgaria EOOD	Bulgaria	100	100
Iztok Parkside EOOD	Bulgaria	100	100
Botanica Lozen EOOD	Bulgaria	100	100
Arco Invest EOOD	Bulgaria	100	100
Arco Manastirski EOOD	Bulgaria	100	100
Arco Riverside EOOD	Bulgaria	100	100
Marsili II SIA*	Latvia	0	100
Construction segment			
Subsidiary			
Arco Tarc OÜ	Estonia	100	100

*Marsili II SIA was liquidated 16.01.2024.

25. Parent company's unconsolidated primary financial statements

In accordance with the Accounting Act of Estonia, unconsolidated primary financial statements of consolidating unit (parent company) have been disclosed in the notes of the consolidated annual report. The parent company's primary reports are prepared using the same accounting principles and estimation basis used in consolidated financial statements, excluding subsidiaries, which are accounted for in parent company's unconsolidated primary financial statements using cost method.

UNCONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME

	2024	2023 Corrected
<i>In thousands of euros</i>		
Revenue from rendering of services	1,163	1,017
Cost of sales	-8	-17
Gross profit	1,155	1,000
Marketing and distribution expenses	-228	-143
Administrative expenses	-941	-941
Other expenses	-8	-5
Operating loss	-22	-89
Gain on investments in subsidiaries	87	8,192
Interest income	1,276	1,579
Interest expense	-526	-528
Total finance income and costs	837	9,243
Profit before income tax	815	9,154
Income tax	-52	0
Net profit for the year	763	9,154
Total comprehensive income for the year	763	9,154

As of 31.12.2023, investments in subsidiaries and 2023 profit from investments in subsidiaries have been adjusted by 9,000 thousand euros, as the reversal of the investment impairment was not recognized as of 31.12.2023.

UNCONSOLIDATED STATEMENT OF FINANCIAL POSITION

As of 31 December	2024	2023 Corrected
<i>In thousands of euros</i>		
Cash and cash equivalents	815	1,011
Receivables and prepayments	1,028	799
Total current assets	1,843	1,810
Investments into subsidiaries	13,659	18,663
Receivables and prepayments	17,623	13,651
Property, plant, and equipment	143	210
Intangible assets	39	2
Total non-current assets	31,464	32,526
TOTAL ASSETS	33,307	34,336
Loans and borrowings	154	3,330
Payables and prepayments	629	1,749
Total current liabilities	783	5,079
Loans and borrowings	8,473	5,316
Total non-current liabilities	8,473	5,316
TOTAL LIABILITIES	9,256	10,395
Share capital	7,272	7,272
Share premium	3,835	3,835
Statutory capital reserve	2,011	2,011
Other reserves	27	56
Retained earnings	10,906	10,767
TOTAL EQUITY	24,051	23,941
TOTAL LIABILITIES AND EQUITY	33,307	34,336

As of 31.12.2023, investments in subsidiaries and 2023 profit from investments in subsidiaries have been adjusted by 9,154 thousand euros, as the reversal of the investment impairment was not recognized as of 31.12.2023.

UNCONSOLIDATED STATEMENT OF CASH FLOWS

(direct method)

	2024	2023
<i>In thousands of euros</i>		
Cash receipts from customers	1,305	421
Cash paid to suppliers	-545	-488
Taxes paid	-4,085	-1,588
Taxes recovered	3,325	5,153
Cash paid to employees	-446	-308
Other payments and receipts related to operating activities (net)	10	4
NET CASH FROM/USED IN OPERATING ACTIVITIES	-436	3,194
Payments made on acquisition of property, plant and equipment	-1	-2
Loans provided	-7,476	-9,368
Repayment of loans provided	7,645	2,090
Interest received	0	9
Other receipts related to investing activities	4	90
NET CASH FROM/USED IN INVESTING ACTIVITIES	172	-7,181
Proceeds of loans received	3,754	5,948
Settlement of loans and borrowings	-2,736	-1,570
Dividends paid	-624	-623
Interest paid	-326	-254
NET CASH FROM FINANCING ACTIVITIES	68	3,501
NET CASH FLOW	-196	-486
Cash and cash equivalents at beginning of year	1,011	1,497
Change in cash and cash equivalents	-196	-486
Cash and cash equivalents at end of year	815	1,011

UNCONSOLIDATED STATEMENT OF CHANGES IN EQUITY

	Share capital	Share premium	Statutory capital reserve	Other reserves	Retained earnings Corrected	Total
<i>In thousands of euros</i>						
Balance on 31 December 2022	7,272	3,835	2,011	0	2,237	15,355
Dividends	0	0	0	0	-624	-624
Formation of equity reserve	0	0	0	56	0	56
Net profit for the year	0	0	0	0	9,154	9,154
Balance on 31 December 2023	7,272	3,835	2,011	56	10,767	23,941
Dividends	0	0	0	0	-624	-624
Formation of equity reserve	0	0	0	-29	0	-29
Net profit for the year	0	0	0	0	763	763
Balance on 31 December 2024	7,272	3,835	2,011	27	10,906	24,051

Adjusted unconsolidated equity

As of 31 December	2024	2023 Corrected
<i>In thousands of euros</i>		
Parent company's unconsolidated equity	24,051	23,941
Carrying amount of investments in subsidiaries in the parent company's unconsolidated statement of financial position (-)	-13,659	-18,663
Value of investments in subsidiaries under the equity method (+)	9,347	15,739
Parent company's adjusted unconsolidated equity	19,739	21,017

As of 31.12.2023, investments in subsidiaries and 2023 profit from investments in subsidiaries have been adjusted by 9,154 thousand euros, as the reversal of the investment impairment was not recognized as of 31.12.2023.

Statement by the management board

The member of the management board of Arco Vara AS declares and confirms that according to his best knowledge, the annual accounts for year 2024 are prepared according to the Financial Reporting Standards (IFRS) as adopted by the EU, present a true and fair view of the assets, liabilities, financial situation and profit or loss of Arco Vara AS and the Group as a whole.

The member of the management board of Arco Vara AS also declares that Arco Vara group is a going concern.

April 2, 2025

/signed digitally/

Kristina Mustonen

Chief Executive Officer and Member of the Management Board of Arco Vara AS